

Week ending 28th August 2020

Weekly Fixed Income Note

Key Highlight:

A total of KES 24.0 Billion worth of T-bills were on offer during the week. The **91-day**,**182-day** and **364-day** T-bills recorded subscription rates of **113%, 61%** and **19%** respectively. The CBK accepted KES **4.0B**, **4.9B** and **1.8B** respectively of the bids for the **91-day, 182-day** and **364-day** T-bills on offer.

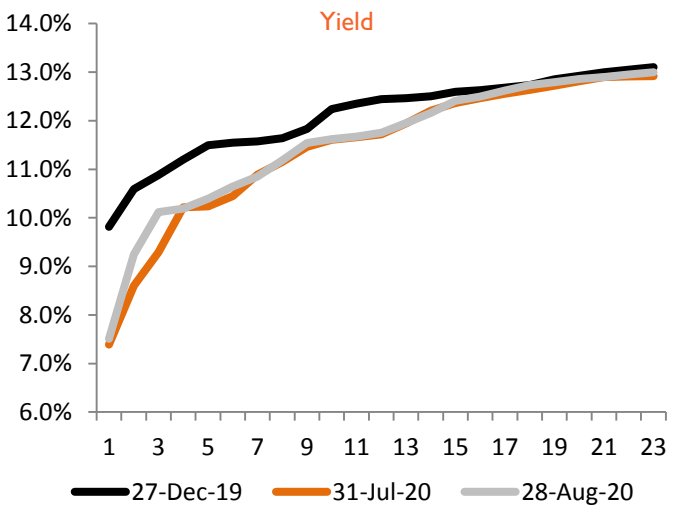
In August, Central Bank of Kenya is opening an infrastructure bond **IFB1/2020/11** in a bid to raise **70 Billion**. The bond recorded a performance rate of **144.96%.** The CBK received total bids at cost **KES 101.4B** while the total amount accepted was **KES 78.6B** . The bond was oversubscribed due to the high liquidity in the market..

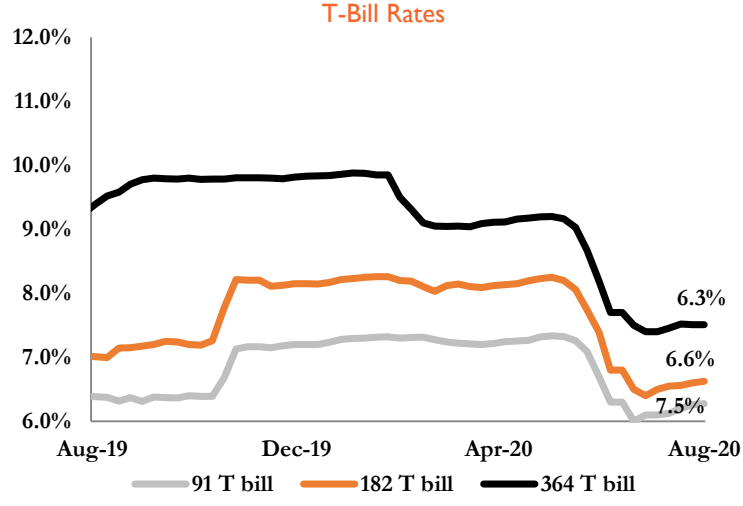
Key Indicators

	Current	Previous	% Change
91-day	6.27%	6.26%	0.16%
182-day	6.63%	6.60%	0.45%
364-day	7.51%	7.51%	-
Interbank	3.05%	2.71%	12.55%

Macroeconomic data	Current	Previous
GDP (1Q20 vs. 1Q19)	4.9%	5.5%
Inflation (July)	4.36%	4.59%
Private sector credit growth (May)	8.1%	9.0%
Money Supply (March)	4.9%	7.3%

Interest Rates





MACROECONOMIC NEWS

Currency

The Kenya shilling lost ground against the USD this past week depreciating by **0.19%** to stand at **108.21**.The CBK's usable forex reserves currently stand **USD 8963million** (**5.4** months of import cover) as at August 27th a **2.31%** decrease from **USD9,175million**(**5.6** months of import cover) as at August 20th

Inflation

Inflation decreased from to **4.59%** in June to **4.36%** in July. The CPI increased by **0.08%** to **108.35** from **108.27.**

GDP growth

Growth receded to **4.9%** in 1Q20 from **5.5%** in the corresponding period of 2019. While the agricultural sector grew slightly by **0.2%** to **4.9%** year-on-year, other sectors have grown at a slower rate including manufacturing, construction and accommodation that slowed down by **0.6%, 0.8%** and **9.3%** respectively.

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